that for a few years before that, the price of gold was increasing steeply and secularly which encouraged the all-too-familiar herd behaviour. Households increased their purchase of gold and were raising loans against that gold to meet their expenditure needs. This growing trend raised concerns for us in the Reserve Bank from both financial-stability and consumer-protection dimensions.

If the price of gold was to correct sharply downwards, the gold collateral available with the loan company would not be sufficient security for the amount of loan. If indeed that happened, borrowers would be tempted to default on the loan and the resulting loss to the gold loan company could potentially cascade across the financial system, threatening financial stability. To safeguard against this downside risk, we reduced the loan to value ratio (LTV) from 75 per cent to 60 per cent. What this meant was that a loan against gold could not exceed 60 per cent of the value of the gold pledged as collateral. We also reset the capital requirements for loan companies primarily engaged in lending against the collateral of gold jewellery so as to prevent contagion from them to the rest of the financial system. As a measure of consumer protection, we imposed regulations on where and how gold loan companies should store the gold pledged with them, their obligation to make the gold available for inspection by the borrowers and the procedure that the loan companies should follow for selling the pledged gold in case of default by the borrower.

Financial Literacy—the Most Robust Defence

I started this story of mine on regulating the non-banking financial sector with the question of whether the Reserve Bank has an institutional bias against the sector and then meandered into talking about Ponzi schemes, MFIs and gold loan companies. The common thread running through all this is my belief, as indeed it is of the Reserve Bank too, that the non-bank financial sector plays a vital role in financial intermediation by channelling money from savers to borrowers, thereby contributing to growth, efficiency and equity in the economy. To those who doubt the Reserve Bank’s